of two large German banks. Having lent liberally to banks abroad, the Bank of England too found itself in bankruptcy.

Results of the Depression

Despite emergency measures such as cutbacks in expenditure and increased taxation, the situation did not improve in England. In order to counteract this and to protect domestic markets, each nation adopted a policy of protectionism and devaluation of currency. Devaluation forced creditors to stop lending. This led to a world-wide credit contraction. Thus the defensive measures adopted by various nations led to an unprecedented decline in world economic activity. As its effect was deep and prolonged economists and historians call it the Great Depression.

Reflection in Politics

The Depression changed the political conditions in several countries. In England, the Labour Party was defeated in the general elections of 1931. In the USA, the Republican Party, which had taken credit for the boom preceding the Depression, was rejected by the people in successive elections for about twenty years after the Depression. As we will see below, the Fascist Parties seized government in Italy and Germany. In South America, Argentina, Brazil and Chile saw a change of government.

13.7 Rise of Fascism and Nazism

In the aftermath of the First World War, the issue in most parts of continental Europe was whether the government and the economic system should continue under the control of feudal aristocracies, industrialists and financiers, or a combination of all of them. But none of these elite classes had won over the masses, especially the peasantry and the labour. The masses in the emerging situation saw an opportunity to overthrow their oppressors. In Russia the bourgeoisie overturned the autocracy in 1917 and were themselves overturned by the Bolsheviks. In Britain the Labour Party handled the situation by opting for a welfare state. The vanquished nations like Italy and Germany switched to fascism though movements which initially had many of the characteristics of mass organisations.

(a) Fascism in Italy

The first of the nations of Western Europe to turn against the old ruling regime was Italy. During World War I Italy mobilised more than five and a half million men, of whom nearly 700,000 were killed. The financial cost of the participation in the War was huge. The country had suffered heavy losses in a war that was unpopular with both socialists and pro-Austrian Catholics. The nationalists were equally unhappy with the marginal gain in territory from the Treaty of Versailles. The War resulted in inflation with consequent rise in prices, speculation and profiteering. There were frequent protests and strikes. People held the rulers of Italy responsible for the humiliation at Versailles.

Rise of Socialist Organisations

As hardship increased, socialist ideas began to spread. In 1918 Italian socialists voted to join the Communist International. In the election of November 1919 they won about a third of the seats in the Chamber of Deputies. Radicalism spread even in rural areas. Red Leagues were organised to break up large estates and to force landlords to reduce their rents. To the landowning class fascism was a less dangerous form of radicalism that could save their property from confiscation.

The Rise of Mussolini



Mussolini

Benito Mussolini (1883–1945), was a son of a blacksmith. He qualified as an elementary school master and left for further study in Switzerland but ended up as a journalist with socialist views. He became the editor of *Avanti*, the leading socialist daily. When the Fascist Party was founded in 1919 Mussolini joined

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